



**East African Cables**  
*Total peace of mind*

**INTERIM FINANCIAL STATEMENTS**  
**UNAUDITED RESULTS FOR THE SIX MONTHS ENDED 30<sup>TH</sup> JUNE 2023**

**CONDENSED STATEMENT OF COMPREHENSIVE INCOME FOR THE SIX MONTHS ENDED 30 JUNE 2023**

|                                                    | Group<br>30-Jun-23<br>KShs'000 | Group<br>30-Jun-22<br>KShs'000 | Company<br>30-Jun-23<br>KShs'000 | Company<br>30-Jun-22<br>KShs'000 |
|----------------------------------------------------|--------------------------------|--------------------------------|----------------------------------|----------------------------------|
| Turnover                                           | 1,174,493                      | 1,297,325                      | 1,094,216                        | 1,061,164                        |
| Cost of sales                                      | (862,406)                      | (1,019,504)                    | (795,431)                        | (820,914)                        |
| <b>Gross profit</b>                                | <b>312,087</b>                 | <b>277,821</b>                 | <b>298,785</b>                   | <b>240,250</b>                   |
| Operating expenses                                 | (333,019)                      | (264,526)                      | (209,562)                        | (198,652)                        |
| <b>(Loss) / profit from operations</b>             | <b>( 20,932)</b>               | <b>13,295</b>                  | <b>89,223</b>                    | <b>41,598</b>                    |
| Impairment write-back/ (losses)                    | 13,543                         | 2,074                          | ( 12,000)                        | 2,074                            |
| Depreciation and amortization                      | ( 95,888)                      | (125,945)                      | ( 74,226)                        | ( 89,858)                        |
| <b>(Loss) / profit from operating activities</b>   | <b>(103,277)</b>               | <b>(110,576)</b>               | <b>2,997</b>                     | <b>( 46,186)</b>                 |
| Interest expense                                   | (203,911)                      | (156,357)                      | (143,580)                        | (134,419)                        |
| Net exchange gains/(losses)                        | 1,198                          | 1,510                          | ( 16,082)                        | (4,501)                          |
| <b>Loss before tax</b>                             | <b>(305,990)</b>               | <b>(265,423)</b>               | <b>(156,665)</b>                 | <b>(185,106)</b>                 |
| Income tax credit                                  | 91,797                         | 79,509                         | 46,999                           | 55,532                           |
| <b>Loss for the period</b>                         | <b>(214,193)</b>               | <b>(185,914)</b>               | <b>(109,666)</b>                 | <b>(129,574)</b>                 |
| <b>Loss from operations attributable to:</b>       |                                |                                |                                  |                                  |
| Equity holders of parent company                   | (162,974)                      | (158,500)                      | (109,666)                        | (129,574)                        |
| Non-controlling interest                           | ( 51,219)                      | (27,414)                       | -                                | -                                |
| <b>Loss for the period</b>                         | <b>(214,193)</b>               | <b>(185,914)</b>               | <b>(109,666)</b>                 | <b>(129,574)</b>                 |
| <b>Basic and Diluted Earnings per share (KShs)</b> | <b>(0.64)</b>                  | <b>(0.63)</b>                  |                                  |                                  |

**CONDENSED STATEMENT OF FINANCIAL POSITION AS AT 30 JUNE 2023**

|                                     | Group<br>30-Jun-23<br>KShs'000 | Group<br>30-Jun-22<br>KShs'000 | Company<br>30-Jun-23<br>KShs'000 | Company<br>30-Jun-22<br>KShs'000 |
|-------------------------------------|--------------------------------|--------------------------------|----------------------------------|----------------------------------|
| <b>Assets</b>                       |                                |                                |                                  |                                  |
| Non-current assets                  | 4,470,138                      | 4,585,772                      | 2,885,297                        | 3,058,633                        |
| Current assets                      | 891,721                        | 1,020,015                      | 1,208,715                        | 1,174,256                        |
| <b>Total assets</b>                 | <b>5,361,859</b>               | <b>5,605,787</b>               | <b>4,094,012</b>                 | <b>4,232,889</b>                 |
| <b>Equity and liabilities</b>       |                                |                                |                                  |                                  |
| Share Capital                       | 126,563                        | 126,563                        | 126,563                          | 126,563                          |
| Reserves                            | 508,002                        | 1,071,921                      | 714,620                          | 854,193                          |
| Non-controlling interest            | (119,554)                      | 8,464                          | -                                | -                                |
| Non-current liabilities             | 1,488,035                      | 2,477,250                      | 1,173,496                        | 2,125,965                        |
| Current liabilities                 | 3,358,813                      | 1,921,589                      | 2,079,333                        | 1,126,168                        |
| <b>Total equity and liabilities</b> | <b>5,361,859</b>               | <b>5,605,787</b>               | <b>4,094,012</b>                 | <b>4,232,889</b>                 |

**CONDENSED STATEMENT OF CASH FLOWS FOR THE SIX MONTHS ENDED 30 JUNE 2023**

|                                                  | Group<br>30-Jun-23<br>KShs'000 | Group<br>30-Jun-22<br>KShs'000 | Company<br>30-Jun-23<br>KShs'000 | Company<br>30-Jun-22<br>KShs'000 |
|--------------------------------------------------|--------------------------------|--------------------------------|----------------------------------|----------------------------------|
| Cash flows generated from operations             | <b>173,039</b>                 | <b>8,342</b>                   | <b>82,025</b>                    | <b>10,885</b>                    |
| Cash flows (used in) / from investing activities | ( 1,982)                       | 96,868                         | ( 1,982)                         | 100,785                          |
| Cash used in financing activities                | (165,020)                      | (88,836)                       | (66,536)                         | (91,874)                         |
| <b>Increase in cash and cash equivalents</b>     | <b>6,037</b>                   | <b>16,374</b>                  | <b>13,507</b>                    | <b>19,796</b>                    |
| Cash and cash equivalent at 1 January            | 129,221                        | 96,533                         | 39,249                           | 20,736                           |
| <b>Cash and cash equivalent at 30 June</b>       | <b>135,258</b>                 | <b>112,907</b>                 | <b>52,756</b>                    | <b>40,532</b>                    |

**CONDENSED STATEMENT OF CHANGES IN EQUITY FOR THE SIX MONTHS ENDED 30 JUNE 2023**

|                                                        | Group<br>30-Jun-23<br>KShs'000 | Group<br>30-Jun-22<br>KShs'000 | Company<br>30-Jun-23<br>KShs'000 | Company<br>30-Jun-22<br>KShs'000 |
|--------------------------------------------------------|--------------------------------|--------------------------------|----------------------------------|----------------------------------|
| Share capital                                          | 126,563                        | 126,563                        | 126,563                          | 126,563                          |
| Share premium                                          | 545                            | 545                            | 545                              | 545                              |
| Revaluation reserve                                    | 2,023,209                      | 2,050,760                      | 1,390,866                        | 1,386,645                        |
| Revenue reserve                                        | (1,423,629)                    | (903,532)                      | (676,791)                        | (532,997)                        |
| Exchange reserve                                       | (92,123)                       | (75,852)                       | -                                | -                                |
| Total equity attributable to equity holders of company | 634,565                        | 1,198,484                      | 841,183                          | 980,756                          |
| Non-controlling interest                               | (119,554)                      | 8,464                          | -                                | -                                |
| <b>Total Equity</b>                                    | <b>515,011</b>                 | <b>1,206,948</b>               | <b>841,183</b>                   | <b>980,756</b>                   |

**Key Highlights – Company (Kenya operations)**

East African Cables Plc's Kenya business has maintained a growth trajectory, sustained by growing demand from retail and wholesale categories for building and construction projects. The company recorded a 24% growth in Gross Profit attributed to increased sales volumes in the retail sector, sustained market development and communication efforts as well as increased operating efficiencies. The Earnings Before Income Tax Depreciation and Amortization (EBITDA) significantly improved, by 114%, while net earnings improved by 15% compared to the same period in the previous year. Despite the prevailing macro-economic challenges that include accelerated depreciation of the Kenya Shilling to the US Dollar and constrained working capital, the company maintained a strict operating costs containment strategy, leveraging on the entrenched continuous improvement practices.

**Key Highlights – Tanzania operations**

The Tanzania subsidiary continued to experience working capital constraints, significantly affecting its bottom line, and negatively impacting the Group's consolidated performance.

**Outlook - Group**

At the end of the first half of this financial year, the Group faced a setback owing to an insolvency matter which the Company has challenged in court. Overall, the Company continues to record significant traction in growing revenues, reducing the loss attributed to Tanzania's operating challenges and returning the business to profitability. The Board is focusing its energy on the strict execution of the Group's five-year corporate growth strategy with particular attention on getting a lasting solution for the Tanzania business.

**Dividend**

The directors do not recommend payment of an interim dividend.

**By Order of the Board**  
**Virginia Nduge**  
**Company Secretary**  
**Nairobi,**  
**25<sup>th</sup> August 2023**